

(Un)even development narrative: Globalization, economic integration and the fall of transport and communication costs. *

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1 Introduction

Arguably, the role of falling transportation and communication costs in driving the globalization wave cannot be overemphasized. These, among other factors, help to explain the geography of things with regards to spatial patterns and the configuration of economic activities globally. Although this wave has significantly pushed economic boundaries and, in turn, translated to economic fortunes (in this case, gains and opportunities) at different levels, scholars within the space-economy matrix still tend to grapple with the shifting paradigm of polarity – a binary of convergence or divergence, leading or lagging region, even or uneven development, etc. In essence, this curiosity centers on the equilibrium of

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development gains and inquires why some regions are economic beacons while others are “left behind” or need to “catch up”, even in the supposed era of connectivity.

In seeking answers, this study seeks to deconstruct the globalization–development debate and to see if the dispersion of economic activities across space translates to even development. Most importantly, we contend, in light of the current state of globalization, that even development is a façade. In the remainder of this paper, we situate globalisation and the spatial evolution of economic activities within the already existing literature. After that, we consider the ordering and reordering impact of fallen transportation and communication costs, engage the twin (un)even debate, and ultimately draw a conclusion.

2 Globalization and Even Development: What is the Literature Saying?

If there is anything worth reckoning, the globalization wave is undoubtedly reaching new heights. Global connectivity, technological breakthroughs, expanding knowledge and innovation frontiers are all translating to unprecedented economic transformations (Ezcurra and Del Villar, 2021, p 336). In retrospect, the closest connection the world experienced was from coast to coast (Report, 2009); however, the ‘elimination’ of trade barriers and some structural adjustments heralded the modern era of globalization. According to McCann (2008), this globalization crusade is the result of three historical processes: the collapse of institutional barriers that impair the fluidity of exchange across borders; breakthroughs in technology; and the emergence of organizational advancement in logistics, particularly outsourcing, offshoring, and supply chaining.

More specifically, significant economic landmarks that mark the spread of economic activities across regions include the emergence of transition economies, market liberalization, the rise of Asian tigers, the North American Free Trade Agreement of 1994, and the Eu-

ropean Union single market of 1992, among others (Barca *et al.*, 2012; McCann, 2008). Although globalization in terms of economic integration is the catalyst for trade openness and an inroad to the global economy, there is a tendency to obscure the peculiar spatial traits and emerging economic configurations that are crucial to understanding the global economy. However, since the post-World War II globalization era, the theoretical and empirical analysis of the spatial distribution of economic activities is engulfing new perspectives on the conceptualization of economic integration.

In principle, theoretical focus shifted from the primordial territories and nation-state to a new paradigm of places and networks (Pain et al., 2016). According to Ottaviano and Puga (1998), proponents of the traditional economic model “weakly” theorize production differences across space as mere differences in endowments, technology and policy regimes. However, as we also argue, other externalities and market-mediated dynamics in the current economic climate reveal otherwise, suggesting that regions with underlying similar structures can nonetheless differentiate endogenously. The increasing interest to study these dynamics led to the unpacking of the critical roles of institutions (institution economics), human capital and innovation (endogenous theory), the agglomeration and distance theory of New Economic Geography (Barca *et al.*, 2012).

Corresponding to their interpretations, Riou (2003) posited that two key forces drive economic integration: the decentralizing centrifugal force and an agglomerating centripetal force. In most cases, Krugman and Elizondo (1992) argued that the self-reinforcing force of agglomeration is fast-paced and a plausible explanation as to why economic activities are clustered in cities and, more so, the intensity of urbanization in emerging economies. On the other hand, Barca *et al.*, (2012) contended that the centrifugal force, which is gearing towards global economic convergence, is rather slow or, at best, excludes many. Many countries in Africa, for example, feature in this excluded matrix, as argued by Venables (2010).

Relating to this, over time, both the institutional weight (in terms of policy) and developmental strategies directed towards economic integration end up being hijacked by the self-reinforcing forces of agglomeration. This, in particular, is the theoretical underpinnings of the New Economic Geography model as well as the crux of the urbanization debates. In fact, Krugman and Elizondo (1992) contended that while large cities were attributes of advanced industrial nations a few decades ago, today developing countries are not just taking over, but outpacing the former. Cities such as Lagos (Nigeria), Nairobi (Kenya), Casablanca (Morocco), and Riyadh (Saudi Arabia), according to Report (2009), occupy less than 1 percent of the entire landmass of their respective country, yet, on aggregate account for one-fifth of the GDP.

Admittedly, these are the face of the global economy and central nodes in the global network. This urban sprawl, according to Groot *et al.*, (2007), sees cities accounting for half of the global population. In support of this, Mori and Osawa (2021) revealed that 80 percent of the Japanese population now lives in cities, which is just 6 percent of the total landmass. From this growing evidence, alluded to by Barca *et al.*, (2012), one can already infer tendencies of a disproportionate share of economic activities.

3 The Ordering and Reordering Impact of Fallen Transportation and Communication Costs

In exploring this further, we will shift focus from urban dynamics to the intricacies of economic formation. Prior to the industrial revolution era, economic decisions were predicated on proximity; as a result, transport cost was an integral component of economic modeling. The intuition is that the decision to locate a firm is dependent on the transportation cost as well as the point where increasing return is maximised (Ottaviano and Puga, 1998). Implying that, high transport costs could be a disincentive for economic dif-

fusion. With technological advancement in transportation and communication dramatically reducing all distance-related costs, one will imagine a far-reaching disequilibrium from concentrated 'leading' regions to 'lagging' regions (Lafourcade and Thisse, 2008).

Paradoxically, improved technology and transportation infrastructure, envisaged to facilitate divergence and bridge economic distance is considered one of the imminent factors abetting spatial inequality of economic activities. Typically, all regions tend to benefit from lower transport cost, but relatively, leading areas accrue the greatest benefits (Report, 2009, p 74). This is the crux of the New Economic Geography, and in setting a precedent, the seminal work of Krugman (1991) is notable for hypothesising the globalisation effect on spatial inequality into the widely referenced core-periphery model, proven time and again in explaining the geography of economic activities. And depending on the scale of analysis, the core-periphery model could espouse the North-South development divide (supranational or subnational). In other instances, it could manifest in an East-West dichotomy and literally could explain the rise of cities as economic engines.

Now that the concept of space is becoming more and more relevant, understanding the spatial distribution of economic activities is further enriched. Following a clearer pattern, economic activities are not just spread by proxy; their concentration or dispersion is predicated on factors such as economies of scale, market access, and localization. Usually, the choice location is that which avails higher market potentials and greatest economic density for firms and factor markets (Report, 2009, p 75). This is why, despite the decline in the real cost of transportation, economic activities continue to cluster around large agglomerations, particularly because it favors rapid growth and expansion of these activities.

Increasingly, cities are becoming key corridors of economic engagements not because of natural endowments as espoused by the traditional economic model but because of their strategic positioning as an enclave where goods, people, capital, and ideas interact dynamically (Glaeser and Kohlhase, 2003). No period than now is the importance of proximity

more pronounced. On the firm's side, the goal is to harness the pool of competitive labor force and also exploit the forward-backward linkages of their production processes. Moreover, a welfare capture to this order means that labor will, in turn, deflect towards high return on real wages (Krugman and Venables, 1995). The difference, after all, is explained by the integral role of mobility in this model. Overall, McCann (2008) construes this agglomeration effect as a critical pivot of economic growth, which implies attaining even development could mean a trade-off between economic growth and spatial distribution of economic activities.

Simultaneously, as transport costs were declining, breakthroughs in the communication sector were also dramatically reducing the cost of communication. With both declining, exchange of ideas and knowledge spillover is further enhanced, most especially, the transfer of tacit knowledge, which Mori and Osawa (2021) referred to as the heartbeat of innovation – developed and consolidated through contact. As explained in Riou (2003), the expansion and improvement of these infrastructure strengthen knowledge spillover (partially localized); by removing impediments to distance, leading to more innovations from the Research-Development mix. More reason why McCann (2008) opined that dense agglomerations end up benefiting the most in terms of innovation, particularly with specialized internal communication that is mostly dependent on information technology. That is, the more connected a particular location is to the node, the more successful (Pain *et al.*, 2016).

Hence, the rise of knowledge localization in spite of the increasing global connectivity further consolidated the discrepancies in the distribution of economic activities. Although Baldwin *et al.*, (2001) suggest that the trade of goods and ideas are intrinsically related, the contribution of McCann (2008) better represents reality. According to the latter, the space-economy is arranged in such a way that knowledge-intensive activities are carried out in environments with increasing returns to scale, while activities that are spread are mostly low knowledge-intensive. So, with complementary low transport costs, the production of

these standardized products, as McCann (2008) puts it will be domiciled in leading areas from where it is transported to other regions.

4 The Twin (Un)even Debate

Overtly, in exploring the space-economy milieu beyond the conjecture of fancy nuances such as, the death of distance (Cairncross, 1997), borderless world (Ohmae, 1992), the world is flat (Friedman, 2007), among others, what we see is an ambivalence between prospect and reality. As the (Report, 2009, p 96) reflects, in specific instances, there is now fluidity in cross-border transactions; nevertheless, some borders seem to have tripled in the past decades. Put differently, economic borders in North America, Western Europe, and countries like Australia, New Zealand and Japan are narrowing while those in emerging economies with low growth are widening. And as economies develop and attain global economic status, their border institutions move to regulate both goods and factors of production (Report, 2009, p 97-98).

Another argument put forward by McCann (2008) is that even though transport cost is falling, transaction cost—referred to as the cost associated with coordinating and engaging in activities, especially for knowledge-intensive ones across space—is not. Similarly, Glaeser and Kohlhase (2003) contended that transporting human beings across space is still costly even though transport cost is declining. This further highlights the selectivity or better put, the discrepancies in the falling transport cost nuance. Moreover, Krugman's model hypothesizes that beyond a threshold where both transport and communication costs have sufficiently decreased as well as the point where the core is supersaturated, diseconomies of agglomeration take place, resulting in spatial dispersion of economic activities (Ezcurra and Del Villar, 2021, p 344).

Taking it further, Krugman and Venables (1995) contend that this process is also not

straightforward as spatial dispersion of economic activities to the periphery is achieved at the expense of the core region, considering that the advantages of the core may be eroded. More reasons Baldwin *et al.*, (2001), arguing along this line, posited that the re-dispersion of economic activities is often a make-shift mechanism to relax competition from the crowding effect caused by agglomeration. Hence, the increasing rate of what Pain *et al.*, (2016) referred to as metropolitanization. In principle, it is not the development of other regions per se but the opening up of adjoining spaces – regions that could be regarded as ‘city peripheries’ – in order to absorb the spillovers from the already condensed cities. However, in an attempt to midwife development in the economic peripheral, development interventions leverage on transport and communication infrastructure to achieve the objective of higher growth and development (Barca *et al.*, 2012).

As highlighted by Martí-Henneberg and Tirado-Fabregat (2018), perhaps, an exception to this trend is the incipience of regional convergence in South American countries like Argentina, Chile and Uruguay and the 1870-1910 globalization phase that witnessed the spread of industrialization in Europe before what they tagged “the polarization of regional economic inequality” that characterized the second industrialization wave ex-post 1950. Pointedly, their argument is on the relevance of path-dependent historic context in the eventual economic inequality (densely populated and richer regions’ hegemony) debate. Ditto, the retort to protectionism and policies promoting import substitution of the post-1930s could be the historic turn to institutionalized inequality (Martí-Henneberg and Tirado-Fabregat, 2018; Krugman and Elizondo, 1992).

Hence, the Krugman model might have been precise in suggesting convergence as transport and communication costs are sufficiently reduced. But, even at that, it is important to distinguish ‘even development’ from convergence: one is a function of the other; even development depicts the point where convergence is fully reached, and development is optimally diffused. However, even though convergence (an ongoing process of diffusion) may be achieved, attaining even development within the purview of current economic

realities is fuzzy – the crux of our argument.

5 Conclusion

My analysis is not akin to reducing the globalization phenomenon to economic dimension alone. For I reckon with Giddens (2002) that the robustness of the phenomenon also has political, cultural, and technical undertones. However, for a robust analysis, I paid closer attention to exploring globalization and economic integration from the (un)even development narrative. And in trying to shed more light on the rise of globalization and the spatial configuration of economic activities, we focus on the role of the declining transportation and communication costs. Depending on the level of analysis, we deduce an unequal distribution of economic activities across different regions whether at the supranational or sub-national level. This includes the dichotomy in economic characteristics of the global north (developed) and south (developing or less developed), as well as the internal economic polarization that exists even within borders.

The far-reaching self-reinforcing force of agglomeration takes the central stage in economic configurations across space. Driven by sustained growth-oriented motives, the current globalization stylizes economic integration but reifies goods, capital, labor and ideas clustering around advantaged places, leading to unequal distribution of economic activities. One would imagine that the declining cost of transportation and communication will bridge the economic distance gap, but what we have is global agglomerations (cities) and an entrenching discrepancy with the ‘others’. Also, in the supposed knowledge-driven global economy, knowledge spillover within the core outweighs knowledge diffused globally. Hence, conceptualizing even development will mean that beyond the declining cost in transportation and communication, knowledge is sufficiently spilled over, combined with both endogenous and institutional capacity of recipient regions to exploit such knowledge for optimal economic gains. This process of diffusion and diseconomies is far from

the current economic climate.

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